PRESS RELEASE

C.R. Bard, Inc. and Affiliates Pay $17 Million to Resolve Allegations of Healthcare Kickbacks

Thursday, January 23, 2025

For Immediate Release

U.S. Attorney's Office, Northern District of Georgia

ATLANTA – C.R. Bard, Inc. (“Bard”) and its affiliates, Liberator Medical Supply, Inc., Liberator Holdings and Rochester Medical Corporation (collectively the “Liberator Defendants”), have agreed to pay $17 million to resolve allegations that they violated the False Claims Act and various state false claims act statutes by providing free samples and discounts to encourage urology practice groups to use Bard’s prescription form for prescribing intermittent catheters for their patients.

> ***“The use of inducements to influence a physician’s medical decisions undermines the important physician-patient relationship and interferes with the goal of doing what is best for the patient,” said Acting U.S. Attorney Richard S. Moultrie, Jr. “Our office will coordinate with our federal and state partners to hold accountable those companies who violate federal law for financial gain.”***

“Patients should be able to trust the recommendations they receive from their physician are what’s best for their health, not what’s financially beneficial to another provider,” said Georgia Attorney General Chris Carr. “We’re committed to putting a stop to any type of fraud or abuse within our healthcare system while protecting taxpayer dollars no matter the amount.”

“Kickback schemes undermine the trust patients place in our health care system,” said Special Agent in Charge Kelly J. Blackmon of the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). “Our office will continue to collaborate with our law enforcement partners to safeguard federal health care programs.”

“Illegal kickbacks in any form pervert our health care system, which is designed to ensure that health care providers make decisions based solely on what is best for the patient,” said Sean Burke, Acting Special Agent in Charge of FBI Atlanta. “This settlement is part of the FBI and our partners’ on-going effort to eliminate the payment of illegal kickbacks to health care providers.”

“This settlement sends a strong message to healthcare practitioners who blatantly disregard patient-centered care for their own personal enrichment and potentially harm TRICARE, the military healthcare system relied on by our servicemembers, retired military members, and their families,” said Special Agent in Charge Jason Sargenski, Department of Defense Office of Inspector General, Defense Criminal Investigative Service (DCIS), Southeast Field Office. “DCIS, alongside our law enforcement partners, will continue to aggressively investigate allegations of healthcare fraud that affect the Department of Defense and put our personnel at risk.”

The Government alleges that, between 2016 and February 2020, the Liberator Defendants provided discounts, excessive free samples, and cost savings for in-office supplies to urology practice groups to persuade those practice groups to use Bard’s own “Link” prescription form to prescribe intermittent catheters to their patients. The provision of remuneration – anything of value – to induce a physician to prescribe certain devices over others is prohibited by the Anti-Kickback Statute, 42 U.S.C. § 1320a-7b.

Bard began marketing intermittent catheters in 2013, after it acquired Rochester Medical, Inc., a developer and supplier of urological products. Intermittent catheters are single-use catheters provided to persons suffering from urinary retention to drain the bladder several times a day. They are typically prescribed by the patient’s physician. The patient then takes the prescription to a medical equipment supplier (“DME supplier”) to purchase the intermittent catheters.

The Government alleges that soon after the acquisition of Rochester, Bard sales representatives began leveraging discounts on and free samples of in-office urological products to convince urology practice groups to make Bard’s “Link” prescription form – which listed the various Bard intermittent catheters – the standard catheter prescription form for its group. The patients would then take the Link prescription to a DME supplier to purchase the catheters.

Two years later, Bard announced its acquisition of Liberator Medical and Liberator Holdings to create its own medical equipment subsidiary for the sale of intermittent catheters directly to Medicare and Medicaid beneficiaries. The Government alleges that after this acquisition, Bard used the Link prescription form to encourage urology practices to prescribe intermittent catheters through Liberator Medical rather than other DME suppliers.

The settlement resolves allegations filed by Dirk Etheridge, a former employee of 180 Medical, under the *qui tam*, or whistleblower, provisions of the False Claims Act, which authorizes private parties to sue for false claims on behalf of the United States and share in the recovery. The lawsuit was filed in the Northern District of Georgia and is captioned *United States, ex rel. Dirk Etheridge, et al. v. Liberator Medical Holdings, Inc., et al.*, No 1:17-cv-05187-LMM (N.D. Ga.). Mr. Etheridge will receive a share of the settlement.

The U.S. Attorney's Office for the Northern District of Georgia, the U.S. Department of Health & Human Services Office of Inspector General, the Federal Bureau of Investigation, the Department of Defense Office of Inspector General, Defense Criminal Investigative Service, and the Georgia State Attorney General's Medicaid Fraud Division investigated this case.

The civil settlement was reached by Assistant U.S. Attorney Neeli Ben-David, former Assistant U.S. Attorney Akash Desai, and Georgia State Assistant Attorney General Sara Vann.

The claims resolved by the settlement are allegations only, and there has been no determination of liability.

For further information please contact the U.S. Attorney's Public Affairs Office at USAGAN.PressEmails@usdoj.gov or (404) 581-6016. The Internet address for the U.S. Attorney's Office for the Northern District of Georgia is http://www.justice.gov/usao-ndga.

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